

measure rule. “I couldn't make up her mind if it was worth selling at that point. By the time I decided to sell, the stock had returned to the up-sloping trendline” (drawn connecting the lows in September through January), so she held on.

The stock moved up. In late March, the stock jumped sharply, climbing almost \$1.50 in one day. That was a big move for the stock, and she wondered what was going on. She followed the stock closely, and it became obvious the stock had entered the bump phase of a bump-and-run reversal.

Periodically, as the stock climbed (not shown), she penciled in the sell lines parallel to the original bump-and-run reversal trendline. As she looked at the chart, she saw the narrow peak appear and knew the end was near. When the stock dropped below the nearest sell line, she placed an order to sell her holdings and received a fill at 38.63.

“I made 22%,” she said and clucked her tongue, “but on an annualized basis, I made 60%.” She smiled, knowing that annualized numbers were something her math class needed to learn. Now she had the perfect example.